CALL OPTION

Call options are a contract where the buyer and seller fixate on a strike price and a fixed date. If on that fixed date, the price of that asset is higher than the strike price, the seller of the call option will pay the difference between the closing price and strike price to the buyer as profit. This is a risk that the seller is taking. In exchange for that risk, the buyer pays the seller a premium. If the closing price is below the strike price, the premium is the profit for the seller.

Let us understand this with an example and multiple scenarios with closing price. Let us say, today is the 1st of April 2020 and a share for Reliance Industries Ltd. is worth Rs. 2000.. A buyer and seller enter into a call option trade where the strike price is Rs. 2100 and the cut-off date is 28th April 2020. In exchange for this, the buyer pays a premium of Rs. 50 to the seller right away. The buyer can not incur any more losses beyond this i.e. Rs. 50. Let us see what would the result in different scenarios –

SENERIO 1

CLOSING PRICE IS RS.2000

We see that the closing price on 28th April is less than the strike price. This means that the seller will not have to pay any amount to the buyer and the seller makes a profit of Rs. 50 which is the loss for the buyer.

SENERIO 2

CLOSING PRICE IS RS.1800

We see that the price has gone down. The seller therefore has no liability and will take the premium of Rs. 50 as profit. We see with Call option that even after price decline, the buyer will not have to pay any additional amount. The loss is capped at Rs. 50 for the buyer.